markets were cheap. However, when the stock markets rose, many investors liquidated their stocks. They did not note the changing environment. They were anchored to an index of 3000 and when it went up they exited. Without due justification, they sincerely believed that the markets would be back to the 3000 levels.

Herd Mentality

Prakash bought a Maruti Esteem after carefully researching the decision. He was very happy with it and enjoyed driving the car on his long haul trips to Lonavala. After a few months a flood of strangers approached him and offered to buy the car at reduced prices. The vehicle was in good condition and had done a few thousand miles. Worried that he had not made the right decision Prakash considered selling his Maruti at half his cost price. Should he sell the car?

Before you answer, ask yourself what advice would you give him if he wanted to sell 1000 shares of Maruti, which he had bought for Rs. 400 and was now quoting at Rs. 300 due to depressed stock market conditions.

The history of the stock market shows that most investors buy stocks in companies or mutual funds for presumably sound reasons but exit their holdings the moment the market turns against them. They sell when a bunch of complete strangers offer them less than what they had paid. Conversely, they will pay high prices for stocks or real estate or paintings just because other people whom they don't even know are willing to pay such prices. The dotcom boom was a result of such thinking. In stock market parlance this is known as investing with the herd. We need to understand the manner in which the value of a stock or commodity is determined. To some extent what other people think matters a great deal. Beauty may be in the eyes of the beholder but value is often in the eyes of the buyer. If Prakash wanted to sell the Maruti then it was worth what the buyers would pay for it. But if he didn't then he was the only one to decide the value of his car.